

The Marketing Research Process

1. Defining the Problem

- Management Decision Problem
- Marketing Research Problem

2. Developing the Research Plan

- Data Sources – Secondary data, primary data.
- Research Approaches – Observational research
 - Ethnographic
 - Focus Group research
 - Survey Research
 - Qualitative measures – word associations, projective techniques, laddering.

The Marketing Research Process

3. Collecting the Information

- Sampling plan

4. Analyzing the Information and Making the Decision.

Steps in Segmentation Process

- **Needs-Based Segmentation** – Group customers into segments based on similar needs and benefits sought by customer in solving a particular consumption problem.
- **Segment identification** – For each needs-based segment, determine which demographic, lifestyle, and usage behaviours make the segment distinct and identifiable (actionable).
- **Segment attractiveness** – using predetermined segment attractiveness criteria (such as market growth, competitive intensity, and market access), determine the overall attractiveness of each segment.

Steps in Segmentation Process

- **Segment Profitability** – Determine segment profitability.
- **Segment positioning** – for each segment, create a “value proposition” and product-price positioning strategy based on that segment’s unique customer needs and characteristics.
- **Segment “Acid Test”** – Create “segment storyboards” to test the attractiveness of each segment’s positioning strategy.
- **Marketing-Mix strategy** – Expand segment positioning strategy to include all aspects of the marketing mix: product, price, promotion, and place.

Levels of Market Segmentation

- **Mass-marketing** – seller engages in mass production, mass distribution, and mass promotion of one product to all buyers.
 - Model-T “in any color, as long as it is black.”
 - Coke in a 6.5 ounce bottle.
- **Micromarketing** – reaching out to customers at different levels.
 - Segment level
 - Niche level
 - Local area level
 - Individual level

Segment Marketing

- **Market segments** – a group of customers who share a similar set of wants.
- Marketers do NOT create the segments, they identify the segments and decide which ones to target.
- Companies offer
 - More fine-tuned products, appropriately priced to the target segments.
 - Select the best distribution and communication channels.

Niche Marketing

- Marketers identify niches by dividing a segment into subsegments.
 - Heavy smokers – trying to stop smoking / Do not care.
- Customers in niche have distinct set of needs.
- Will pay premium to firm that best satisfies the needs.

Local Marketing

- Target marketing leads to marketing programs tailored to needs and wants of local customer groups.
 - Citibank provides different mixes of banking services in its branches depending on neighborhood demographics.
- In local marketing, national advertising is seen as wasteful because it fails to address local needs.
- Argument against local marketing is that it drives up manufacturing and marketing costs by reducing economies of scale.
- A brand's overall image might be diluted if the product and message differ in different localities.

Individual Customer Marketing

- The ultimate level of segmentation leads to “**segments of one,**” “**customized marketing,**” or “**one-to-one marketing.**”
- Every individual has a unique set of wants and preferences.
- **Mass-customization** is the ability of a company to prepare on a mass basis individually designed products, services, programs, and communications to meet each others’ requirements.
- **Choiceboard** is an interactive online system that allows individual customers to design their own products and services by choosing from a menu of attributes, components, prices, and delivery options

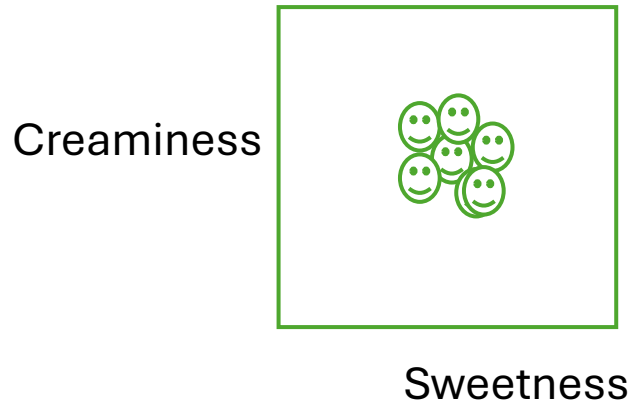
Individual Customer Marketing

- **Customerization** is empowering customers to design the product and service offering of their choice.
- The firm no longer requires prior information about the customer, nor does the firm need to own manufacturing.
- The firm provides a platform and tools and “rents” out to customers the means to design their own products.

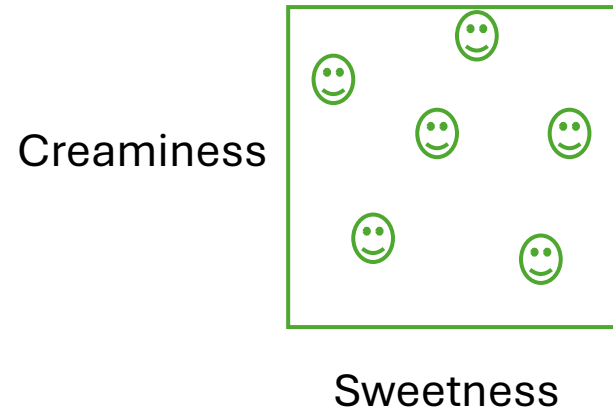
Patterns of Market Segmentation

- Evaluation of sweetness and creaminess as two product attributes

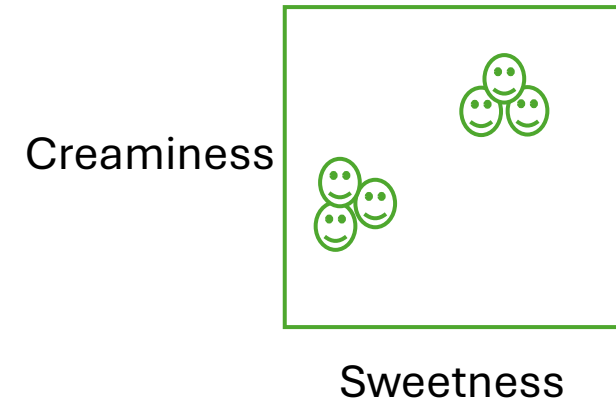
Homogeneous preferences



Diffused Preferences



Clustered Preferences



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Effective Segmentation

Segments must be

- **Measurable** – the size, purchasing power, and characteristics of the segment can be measured.
- **Substantial** – the segments are large (homogenous) and profitable enough to serve.
- **Accessible** – segments can be effectively reached and served.
- **Differentiable** – segments are conceptually distinguishable and respond differently to different marketing-mix elements and programs.
- **Actionable** – Effective programs can be formulated for attracting and serving the segments.

Segmenting Consumer Markets

Bases for segmenting consumer markets

- **Geographic** – dividing the market into different geographical units such as nations, states, regions, countries, cities, or neighborhoods.
 - Hilton Hotels – sleek & cosmopolitan in northeast, rustic in southwest.
- **Demographic** – market is divided into groups on the basis of age, family size, family life cycle, gender, income, occupation, education, religion, race, generation, nationality, and social class.
 - **Life stage** – second marriage, new home.
 - **Gender** – Nike is viewed more masculine than Reebok.
 - **Income** – automobiles, boats, clothing, cosmetics, travel.
 - **Generation** – baby boomer (1944-64), Gen X (1965-80), Gen Y (1981-96), Gen Z(1997-2012).

Psychographic Segmentation

Buyers are divided into different groups on the basis of lifestyle or personality or values.

- **Lifestyle** – shaped purely by whether consumers are time-constrained or money-constrained.
 - E.g., eating while driving, bicycling to work to get exercise.
 - Personality – Products with brand personality that corresponds to target consumers' personality.
 - E.g., Levi's – youthful, rebellious, rugged, authentic, American.
- Values – determines people's choices and desires over the long term.

Behavioral Segmentation

Buyers divided into groups on the basis of their knowledge of, attitude toward, use of, or response to a product.

- **Behavioural variables** – user status, usage rate, loyalty status, buyer-readiness stage, and attitude.
- **Occassions** – buyers are distinguished according to occasion, when they develop a need, purchase a product, or use a product.
 - E.g., air travel on occasions relating to business, vacation, family.
 - Occassions of life events – marriage, child birth, illness.

Behavioral Segmentation

- **User status** – Markets are segmented into nonusers, ex-users, potential users, first-time users, regular users.
 - E.g., blood bank, mothers-to-be.
- **Usage rate** – light, medium, and heavy product users.
 - E.g., beer drinkers.
- **Loyalty status** – loyalty is “a deeply held commitment to re-buy or repatronize a preferred product or service in the future despite situational influences and marketing efforts having the potential to cause switching behaviour.”
 - Hard-core loyals – who buy one brand all the time.
 - Split loyals – who are loyal to 2-3 brands.
 - Shifting loyals – who shift from one brand to another.
 - Switchers – who show no loyalty to any brand.

Behavioral Segmentation

- **Buyer-Readiness stage** – some are unaware, some aware, some are informed, some are interested, some desire, and some intend to buy.
 - E.g., Pap test for cervical cancer.
- **Attitude** – 5 groups are found in market
 - **Enthusiastic** - political campaigners thank enthusiastic voters and remind them to vote.
 - **Positive** – they reinforce those who are positively disposed.
 - **Indifferent** – they try to win the votes of indifferent voters.
 - **Negative & hostile** – they spend no time trying to change the attitudes of negative and hostile voters.

Market Targeting

- Evaluating and selecting the market segments
- Segment's overall attractiveness.
- Company's objectives and resources.

- **Single segment concentration**

	M1	M2	M3
P1			
P2			
P3			

- Volkswagen concentrates on the small-car market.
- Porsche on the sports car market.
- Firm gains strong knowledge of the segment's needs and achieves strong market presence.
- Firm enjoys operating economies through specializing its production, distribution, and promotion.
- Due to segment leadership, firm can earn a high RoI.

• Selective Specialization

	M1	M2	M3
P1			
P2			
P3			

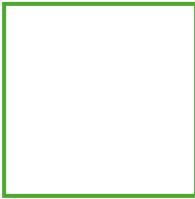
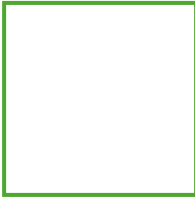
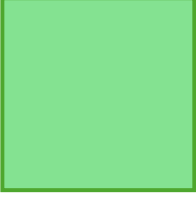
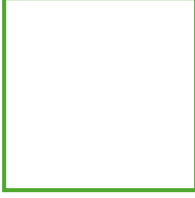
- Firm selects number of segments, each objectively attractive and appropriate.
- Little or no synergy among the segments, but each promises to be a moneymaker.
- Radio broadcasters wanting to appeal to younger and older listeners.

• Product Specialization

	M1	M2	M3
P1			
P2			
P3			

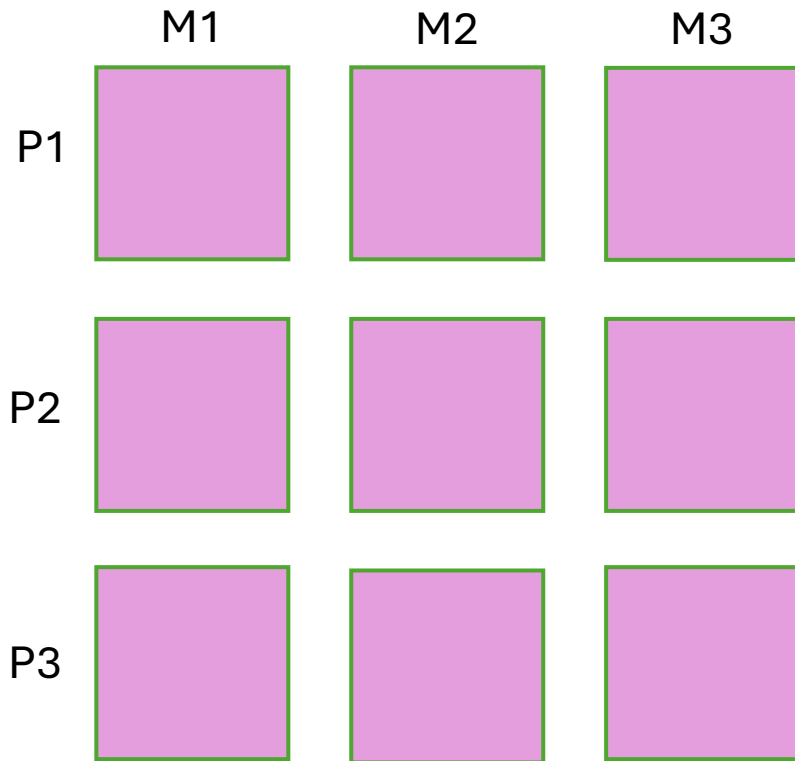
- The firm makes a certain product that it sells to a several segments.
- Eg., microscope – university, government, commercial labs.

• Market Specialization

	M1	M2	M3
P1			
P2			
P3			

- Firm concentrates on serving many needs of a particular customer group.
- Eg., a firm selling an assortment of products only to universities.

• Full Market Coverage



- Firm serves all customer groups with all the products they might need.
- Large firms (coca-cola) cover whole market in two broad ways:
 - Undifferentiated marketing – the firm ignores segment differences and goes after the whole market with one offer.
 - Differentiated marketing – firm operates in several market segments and designs different products for each segment.